

Lease Renewal Calculation

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=== STEP 1: Current Balances ===

Current Lease Liability: 0.02 QAR
Current ROU NBV: 0.00 QAR
Old Expiry Date: 12 Jun 2030
New Expiry Date: 12 Jun 2031
New Term: undefined months

=== STEP 2: Remeasure Lease Liability ===

New Monthly Payment: 12,000.00 QAR
IBR Used: 5.5000%
New PV = $PMT \times [(1 - (1 + r)^{-n}) / r]$
where PMT = 12,000.00, r = monthly rate, n = undefined months
= 139,800.20 QAR
Liability Delta = New PV - Current Liability
= 139,800.20 - 0.02
= 139,800.18 QAR

=== STEP 3: Adjust ROU Asset ===

Per IFRS 16 Para 45: Adjust ROU by the same amount as the liability remeasurement (no P&L impact)
New ROU NBV = Current ROU NBV + Liability Delta
= 0.00 + 139,800.18
= 139,800.18 QAR
New Monthly Depreciation = New ROU NBV / New Term
= 139,800.18 / undefined
= 11,650.02 per month

=== STEP 4: Journal Entry (JE-7) - Renewal ===

Account	Debit	Credit
Dr Right-of-Use Asset		139,800.18
Cr Lease Liability		139,800.18

Dr = Cr = Liability Delta (balance sheet only, no P&L impact)

=== IFRS 16 Reference ===

Para 19: "A lessee shall determine the lease term as the non-cancellable period of a lease, together with periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option."
Para 45: "A lessee shall remeasure the lease liability by discounting the revised lease payments using a revised discount rate... The lessee shall recognise the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset."